working papers, the first of which was presented at Hyderabad in September 1970. Three more papers were discussed in a high-level meeting at Bombay and the final report was submitted in February 1971.

The study identified the strengths and weaknesses of the bank. Among the strengths noted were: strong leadership at the top, independent trade unions and a culture of bipartite negotiations, and strong traditions of the bank shared by its employees. The weaknesses included: lack of clarity about objectives, overlapping responsibilities, ineffective supervisory control, complex systems of operations, and lack of changes in tasks and responsibilities despite an obvious shift in the nature of business.

The consultants' four main recommendations were: market segmentation, separation of operations from planning, unity of command in operations, and performance budgeting. The proposed reorganization was to be aimed at achieving sustained profits, deeper penetration and coverage of its markets, better control systems and delegation of work, flexibility and clarity of objectives, and the ability to cope with rapid growth. The consultants recommended reorganization of work at the branches on the basis of customer groups instead of on activity lines as was the existing practice. The customers were to be grouped under six categories: commercial and institutional customers comprising large and medium sized concerns; individual customers; small industries and small businesses; agriculturists; and government, both Central and State.

For servicing these groups the bank's activities were to be regrouped into separate departments or divisions for each category of customers depending on the volume of business transacted in each market segment. Activities of a general nature were to be handled by a separate department which would function as a common services department for all groups as well as carry out internal tasks at the branch. The number of divisions would depend on the size and business-mix at each branch. The organizational structure of the smaller branches was to remain unchanged. It was proposed to post a Manager with sufficient financial and administrative powers at each division so that he could handle most of the division's business without reference to the Branch Manager.

The LHOs were also reorganized. The consultants identified the primary role of the LHOs as planning, promotional work, specialized services, and operating control. The new setup which considered each activity to be